

Comprehensive Financial Metrics Guide for AI Models

Earnings Per Share (EPS)

EPS measures how much profit is allocated to each share. Higher EPS generally indicates better profitability. Low EPS may indicate weak profitability, while very high EPS could signal strong performance or reduced share count. EPS should always be compared within the same industry.

Profit Margin

Profit margin shows how much of revenue turns into profit. High margins indicate efficiency and pricing power, while low margins suggest high costs or competitive pressure.

Revenue

Revenue is total income from business operations. Growth in revenue indicates expansion, while stagnation or decline can signal issues.

EBITDA

EBITDA reflects operating performance excluding financial and accounting effects. High EBITDA suggests strong core operations.

Return on Equity (ROE)

ROE measures how effectively shareholder capital is used. High ROE is good, but extremely high values may indicate excessive debt.

Return on Assets (ROA)

ROA shows how efficiently assets generate profit. Higher values indicate better asset utilization.

Operating Margin

Operating margin reflects efficiency of core business operations. Higher margins mean better control over costs.

Gross Profit

Gross profit is revenue minus cost of goods sold. It shows production efficiency.

Revenue Growth

Revenue growth measures increase in sales over time. Consistent growth is a positive sign.

Earnings Growth

Earnings growth tracks profit increase. Declining earnings despite revenue growth can signal rising costs.

Opening Price

Opening price is the first traded price of a stock when the market opens. It reflects overnight news and sentiment.

Closing Price

Closing price is the last traded price of a stock during a trading session. It is widely used for analysis and charting.

Moving Average (MA)

Moving averages smooth price data over time. Common types include 50-day and 200-day averages. Prices above MA indicate uptrend; below indicate downtrend.

Exponential Moving Average (EMA)

EMA gives more weight to recent prices, making it more responsive than simple moving averages.

Volume

Volume indicates the number of shares traded. High volume confirms trends, while low volume suggests weak momentum.

Market Capitalization

Market cap is total value of a company's shares. Large-cap companies are stable, small-cap are riskier but have growth potential.

Price-to-Earnings Ratio (P/E)

P/E compares stock price to EPS. High P/E suggests growth expectations; low P/E may indicate undervaluation or risk.

Debt-to-Equity Ratio

This measures financial leverage. High values indicate higher risk due to debt.

Free Cash Flow

Free cash flow shows how much cash a company generates after expenses. Strong FCF indicates financial health.

Key Interpretation Rules

High profitability metrics with strong growth are ideal. However, inconsistencies (e.g., high revenue growth but low earnings growth) can indicate underlying issues. Always compare metrics within the same industry.